CRISC Exam - Hard Questions with Explanations

Each Option Analyzed

Open Source Community

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Q1: Why Maintain KRIs?

Question

Which of the following is the MOST important reason to maintain key risk indicators (KRIs)?

A. In order to avoid risk
B. Complex metrics require fine-tuning
C. Risk reports need to be timely
D. Threats and vulnerabilities change over time

Q1: Explanation

Correct Answer: D

Threats and vulnerabilities change over time and KRI maintenance ensures that KRIs continue to effectively capture these changes.

Option Analysis

- **A - Incorrect:** Risk avoidance is a risk response, not a reason for KRI maintenance
- **B - Incorrect:** Fine-tuning is secondary; capturing changes is primary
- **C - Incorrect:** Timeliness is a business requirement, not a maintenance reason
- **D - Correct:** Risk environment is dynamic; KRIs must evolve with threats

Q2: Risk Responses After Project

Question

What should you do with the risk responses identified during the project's monitoring and controlling process after project completion?

A. Include in project management plan
B. Include in risk management plan
C. Include in lessons learned database
D. Nothing - already in risk register

Q2: Explanation

Correct Answer: C

Risk responses should be included in the organization's lessons learned database so other project managers can use them.

Option Analysis

- **A - Incorrect:** Project management plan is for current project execution
- **B - Incorrect:** Risk management plan is for current project methodology
- **C - Correct:** Knowledge sharing benefits future projects
- **D - Incorrect:** Risk register alone doesn't share knowledge across projects

Q3: Risk That Saves Money

Question

You identified a risk event that could save $100,000 in project costs if it occurs. Which statement BEST describes this risk event?

A. Should be mitigated
B. Should be accepted
C. Should be avoided
D. This is an opportunity and should be exploited

Q3: Explanation

Correct Answer: D

This risk event has potential to save money, so it is an opportunity. The appropriate strategy is to exploit it.

Option Analysis

- **A - Incorrect:** Mitigation is for negative risks, not positive opportunities
- **B - Incorrect:** Acceptance is passive; opportunity deserves active exploitation
- **C - Incorrect:** Avoidance is for negative risks, prevents opportunity
- **D - Correct:** Exploiting ensures the opportunity is realized

Q5: RPN Calculation

Question

A risk has rating for occurrence, severity, and detection as 4, 5, and 6 respectively. What Risk Priority Number (RPN) would you give?

- A 120
- B 100
- C 15
- D 30

Q5: Explanation

Correct Answer: A

RPN = Severity $\times$ Occurrence $\times$ Detection = $4 \times 5 \times 6 = 120$

Option Analysis

- **A - Correct:** $4 \times 5 \times 6 = 120$
- **B - Incorrect:** Would be sum of values multiplied incorrectly
- **C - Incorrect:** This would be addition (4+5+6=15)
- **D - Incorrect:** This ignores one factor (4×5=20 or 5×6=30)

Q7: Who Decides KRIs? Who gives perspective and who approves

Question

Which role carriers decide the Key Risk Indicators of the enterprise? (Choose two)

- A Business leaders
- B Senior management
- C Human resources
- D Chief financial officer

Q7: Explanation

Correct Answer: A and B

CRISC works with senior management and business leaders to determine which risk indicators become KRIs.

Option Analysis

- **A - Correct:** Business leaders provide strategic risk perspective
- **B - Correct:** Senior management approves KRIs
- **C - Incorrect:** HR oversees risk culture, not KRI selection
- **D - Incorrect:** CFO oversees financial risks only

Q8: Risk Scenario Requirements

Question

What are the requirements for creating risk scenarios? (Choose three)

- A Determination of cause and effect
- B Determination of value of business process at risk
- C Potential threats and vulnerabilities that could cause loss
- D Determination of value of an asset

Q8: Explanation

Correct Answer: B, C, D

Creating risk scenarios requires: value of asset/business process at risk, and potential threats/vulnerabilities.

Option Analysis

- **A - Incorrect:** Cause-effect is predictive analysis, not scenario creation
- **B - Correct:** Business process value is essential for scenario
- **C - Correct:** Threats and vulnerabilities define potential loss
- **D - Correct:** Asset value is fundamental to risk quantification

Q9: Who Shares Risk Information?

Question

Which project management plan defines who will be available to share information on project risks?

A. Resource Management Plan
B. Risk Management Plan
C. Stakeholder Management Strategy
D. Communications Management Plan

Q9: Explanation

Correct Answer: D

The Communications Management Plan defines who will be available to share information on risks and responses throughout the project.

Option Analysis

- **A - Incorrect:** Resource Management Plan doesn't define risk communications
- **B - Incorrect:** Risk Management Plan defines analysis and responses, not communication roles
- **C - Incorrect:** Stakeholder strategy doesn't address risk communications
- **D - Correct:** Communications Plan defines roles for sharing risk information

Q11: NOT Used in Risk Identification

Question

Which tool is NOT used for identifying project risks?

A. Process flowchart
B. Ishikawa diagram
C. Influence diagram
D. Decision tree diagram

Q11: Explanation

Correct Answer: D

Decision tree diagrams are used during Quantitative risk analysis, not in risk identification.

Option Analysis

- **A - Incorrect:** Process flowchart is used in identification
- **B - Incorrect:** Ishikawa diagram identifies causes
- **C - Incorrect:** Influence diagram shows relationships
- **D - Correct:** Decision tree is for quantitative analysis, not identification

Practice: Process Flowchart

Question

Which tool is MOST useful for identifying risks by mapping process steps and locating potential failure points?

A. Decision tree diagram
B. Process flowchart
C. Tornado diagram
D. Sensitivity analysis

Answer

Correct Answer: B

Process flowcharts help identify risks by visualizing process activities and workflow dependencies.

Practice: Ishikawa Diagram

Question

Which tool is BEST used to identify root causes of a problem or risk event?

A. Decision tree diagram
B. Influence diagram
C. Ishikawa diagram
D. Control chart

Answer

Correct Answer: C

Ishikawa (fishbone) diagrams are used to identify and categorize root causes of risks and problems.

Practice: Influence Diagram

Question

Which tool is used to show relationships and dependencies among variables that may affect project outcomes?

A. Influence diagram
B. Pareto chart
C. Decision tree diagram
D. Work breakdown structure

Answer

Correct Answer: A

Influence diagrams illustrate relationships between decisions, uncertainties, and objectives.

Practice: Decision Tree Diagram

Question

Which tool is MOST commonly used during quantitative risk analysis to evaluate alternative decisions and their expected outcomes?

A. Process flowchart
B. Ishikawa diagram
C. Decision tree diagram
D. Risk breakdown structure

Answer

Correct Answer: C

Decision tree diagrams are used for quantitative risk analysis and expected monetary value calculations.

Q12: Definition of Risk Utility

Question

Which BEST describes the utility of a risk?

A. The finance incentive behind the risk
B. The potential opportunity of the risk
C. The mechanics of how a risk works
D. The usefulness of the risk to individuals or groups

Q12: Explanation

Correct Answer: D

Risk utility describes the usefulness of a particular risk to an individual or group.

Option Analysis

- **A - Incorrect:** Finance incentive is a measurement method, not definition
- **B - Incorrect:** This describes opportunity, not utility
- **C - Incorrect:** This describes risk mechanics, not utility
- **D - Correct:** Utility = usefulness/benefit to stakeholders

Q13: Monitoring Tool Growth Ability

Question

Which monitoring tool aspect ensures ability to keep up with enterprise growth?

A. Scalability
B. Customizability
C. Sustainability
D. Impact on performance

Q13: Explanation

Correct Answer: A

Scalability ensures monitoring tools can meet anticipated growth in process, complexity, or transaction volumes.

Option Analysis

- **A - Correct:** Scalability is about growth capacity
- **B - Incorrect:** Customizability is about adapting to needs
- **C - Incorrect:** Sustainability is about long-term effectiveness
- **D - Incorrect:** Performance impact is separate from growth ability

Q14: Moderate Risk Definition

Question

A risk that is a noticeable failure threatening the success of certain goals exists at which level?

- A Moderate risk
- B High risk
- C Extremely high risk
- D Low risk

Q14: Explanation

Correct Answer: A

Moderate risks are noticeable failures threatening the success of certain goals.

Option Analysis

- **A - Correct:** Moderate = noticeable failure affecting specific goals
- **B - Incorrect:** High = significant failure impacting multiple goals
- **C - Incorrect:** Extremely high = large impact, likely failure with severe consequences
- **D - Incorrect:** Low = results in certain unsuccessful goals (minimal)

Q15: Grouping Risks by Common Causes

Question

What is the primary advantage to group risks by common causes during qualitative risk analysis?

A. Realize areas most laden with risks
B. Assist in developing effective risk responses
C. Save time by collecting related resources
D. Create risk categories unique to each project

Q15: Explanation

Correct Answer: B

By grouping risks by categories, the project team can develop effective risk responses. Related risks often have common causal factors.

Option Analysis

- **A - Incorrect:** This is a byproduct, not primary advantage
- **B - Correct:** Common causes can be addressed with single response
- **C - Incorrect:** Time savings is secondary to response effectiveness
- **D - Incorrect:** Categories may be organizational, not unique

Q16: Risk Communication Process

Question

"Process of exchanging information and views about risks among stakeholders" describes which process?

A. Risk governance
B. Risk identification
C. Risk response planning
D. Risk communication

Q16: Explanation

Correct Answer: D

Risk communication is exactly defined as exchanging information and views about risks among stakeholders.

Option Analysis

- **A - Incorrect:** Governance is about decision-making structures
- **B - Incorrect:** Identification is about discovering risks
- **C - Incorrect:** Response planning is about mitigation actions
- **D - Correct:** Communication is information exchange

Q17: Key Output of Identify Risk Process

Question

Which is a key output of the Identify Risks process?

A. Risk Register
B. Risk Management Plan
C. Risk Breakdown Structure
D. Risk Categories

Q17: Explanation

Correct Answer: A

The primary output from Identify Risks is the initial entries into the risk register.

Option Analysis

- **A - Correct:** Risk register is the only output of Identify Risks
- **B - Incorrect:** Risk Management Plan is from Plan Risk Management
- **C - Incorrect:** RBS is from Plan Risk Management
- **D - Incorrect:** Categories are from Plan Risk Management

Q18: Component Generating Threat

Question

Which risk scenario component has potential to generate internal or external threat?

A. Timing dimension
B. Events
C. Assets
D. Actors

Q18: Explanation

Correct Answer: D

Actors are those components that have the potential to generate the threat (internal or external, human or non-human).

Option Analysis

- **A - Incorrect:** Timing dimension is about when, not threat generation
- **B - Incorrect:** Events are happenings, not threat generators
- **C - Incorrect:** Assets are what need protection, not threat sources
- **D - Correct:** Actors generate threats (staff, competitors, outsiders)

Q19: Before Relying on Controls

Question

What should you do before relying on any control?

A. Review performance data
B. Discover risk exposure
C. Conduct pilot testing
D. Articulate risk

Q19: Explanation

Correct Answer: A and C

Pilot testing and reviewing performance data to verify operation against design are done before relying on control.

Option Analysis

- **A - Correct:** Performance data verifies control operation
- **B - Incorrect:** Risk exposure helps identify severity, not control reliability
- **C - Correct:** Pilot testing validates control effectiveness
- **D - Incorrect:** Articulating risk is first phase, doesn't verify control

Q20: NOT True for Maturity Level 1

Question

Which statement is NOT true for risk management capability maturity level 1?

A. Risk is viewed as technical issue
B. Decisions involving risk lack credible information
C. Risk appetite applied only during episodic assessments
D. Risk management skills exist on ad hoc basis

Q20: Explanation

Correct Answer: B

Decisions lacking credible information is a characteristic of Level 0, not Level 1.

Option Analysis

- **A - True:** Level 1 views risk as technical issue
- **B - Not True:** This is Level 0 characteristic
- **C - True:** Level 1 has episodic risk appetite application
- **D - True:** Level 1 has ad hoc risk management skills

Practice: Level 0 Characteristic

Question

Which statement is MOST characteristic of risk management capability maturity level 0?

A. Risk appetite is applied during periodic assessments
B. Risk management skills exist on an ad hoc basis
C. Decisions involving risk lack credible information
D. Risk is viewed as a business issue

Practice: Explanation

Correct Answer: C

Decisions involving risk lack credible information is a defining characteristic of Level 0.

Practice: Maturity Level

Question

Risk management activities are performed inconsistently, skills exist on an ad hoc basis, and risk is primarily viewed as a technical issue. Which maturity level BEST describes this organization?

- A Level 0
- B Level 1
- C Level 2
- D Level 3

Practice: Explanation

Correct Answer: B

These are classic characteristics of Risk Maturity Level 1.

Practice: NOT Level 0

Question

Which statement is NOT characteristic of risk management capability maturity level 0?

A. Risk decisions lack credible information
B. Risk management is largely nonexistent
C. Risk management skills exist on an ad hoc basis
D. Risk is rarely considered in decision making

Practice: Explanation

Correct Answer: C

Ad hoc risk management skills are associated with Level 1, not Level 0.

Practice: Comparison

Question

What is the PRIMARY difference between maturity Level 0 and Level 1?

A. Level 1 introduces some informal risk management practices
B. Level 1 has optimized risk management
C. Level 0 has a formal risk appetite framework
D. Level 0 performs continuous risk monitoring

Practice: Explanation

Correct Answer: A

Level 1 organizations begin to perform risk management activities informally, while Level 0 organizations have little or no formal capability.

Practice: Hard

Question

An organization occasionally discusses risk during major projects. Risk appetite is considered only during periodic assessments, and risk expertise depends on individual employees rather than established processes. What maturity level BEST fits this organization?

A. Level 0
B. Level 1
C. Level 2
D. Level 4

Practice: Explanation

Correct Answer: B

Episodic risk appetite application and ad hoc risk management skills are key indicators of Level 1 maturity.

Q21: Most Important for Risk Review

Question

Which stakeholder is MOST important for reviewing risk response options?

A. Information security managers
B. Internal auditors
C. Incident response team members
D. Business managers

Q21: Explanation

Correct Answer: D

Business managers are accountable for managing associated risk and determine actions based on information provided by others.

Option Analysis

- **A - Incorrect:** Security managers understand technical aspects but business managers decide
- **B - Incorrect:** Auditors provide assurance, not decision-making
- **C - Incorrect:** Incident team responds to events, doesn't review options
- **D - Correct:** Business managers are accountable and decide actions

Q22

Question

Which technique provides systematic description of unwanted occurrences in a system?

A. Sensitivity analysis
B. Scenario analysis
C. Fault tree analysis
D. Cause and effect analysis

Q22: Explanation

Correct Answer: C

Fault Tree Analysis (FTA) provides systematic description of possible occurrences that can result in undesirable outcomes.

Option Analysis

- **A - Incorrect:** Sensitivity examines input uncertainty impact
- **B - Incorrect:** Scenario shows range of values across scenarios
- **C - Correct:** FTA combines hardware and human failures
- **D - Incorrect:** Cause-effect explores root causes

Q23: Risk Treatment Definition

Question

What is the process for selecting and implementing measures to impact risk called?

A. Risk Treatment
B. Control
C. Risk Assessment
D. Risk Management

Q23: Explanation

Correct Answer: A

Risk treatment is the process for selecting and implementing measures for impacting risk in the environment.

Option Analysis

- **A - Correct:** Treatment specifically addresses implementation
- **B - Incorrect:** Control is one type of measure, not the process
- **C - Incorrect:** Assessment is analyzing and evaluating, not implementing
- **D - Incorrect:** Management is broader coordinated activities

Practice: Risk Response Activities

Question

A risk manager evaluates several response options and decides to implement additional monitoring controls to reduce the likelihood of a loss event. Which process is being performed?

- A Risk Treatment
- B Risk Identification
- C Risk Analysis
- D Risk Appetite Definition

Practice: Explanation

Correct Answer: A

Risk treatment involves selecting and implementing measures to modify, mitigate, transfer, avoid, or accept risk.

Option Analysis

- **A - Correct:** The organization is implementing controls to affect risk.
- **B - Incorrect:** Risk identification focuses on discovering and documenting risks, not responding to them.
- **C - Incorrect:** Risk analysis evaluates likelihood and impact but does not implement responses.
- **D - Incorrect:** Risk appetite defines acceptable risk levels and tolerance, not specific response actions.

Practice: Control or Process

Question

Which of the following represents a risk treatment activity rather than a control?

A. Selecting a strategy to transfer cyber risk through insurance
B. Multi-factor authentication
C. Segregation of duties
D. Automated transaction monitoring

Practice: Explanation

Correct Answer: A

Risk treatment is the overall process of selecting actions to address risk. Purchasing insurance is a treatment decision.

Option Analysis

- **A - Correct:** Risk transfer through insurance is a risk treatment strategy.
- **B - Incorrect:** Multi-factor authentication is a control implemented as part of treatment.
- **C - Incorrect:** Segregation of duties is a preventive control.
- **D - Incorrect:** Transaction monitoring is a detective control.

Practice: Next Step

Question

After risk analysis determines that a risk exceeds management's tolerance level, what should occur NEXT?

A. Risk Treatment
B. Risk Identification
C. Asset Valuation
D. Business Case Development

Practice: Explanation

Correct Answer: A

Once a risk has been assessed and determined to exceed tolerance, risk treatment activities should be selected and implemented.

Option Analysis

- **A - Correct:** Treatment follows assessment when action is required.
- **B - Incorrect:** Identification occurs earlier in the risk management lifecycle.
- **C - Incorrect:** Asset valuation supports assessment but is not the next step.
- **D - Incorrect:** A business case may be created for specific initiatives but is not the formal risk management step.

Q24: Sarbanes-Oxley Section 302

Question

Which SOX section specifies "Periodic financial reports must be certified by CEO and CFO"?

A. Section 302
B. Section 404
C. Section 203
D. Section 409

Q24: Explanation

Correct Answer: A

Section 302 requires corporate responsibility for financial reports to be certified by CEO, CFO, or designated representative.

Option Analysis

- **A - Correct:** Section 302 is certification requirement
- **B - Incorrect:** Section 404 is annual internal controls assessment
- **C - Incorrect:** Section 203 is audit partner rotation
- **D - Incorrect:** Section 409 is timely financial reporting

Q25: Primary Need for Control Assessment

Question

What is the PRIMARY need for effectively assessing controls?

A. Control's alignment with operating environment
B. Control's design effectiveness
C. Control's objective achievement
D. Control's operating effectiveness

Q25: Explanation

Correct Answer: C

Controls can be effectively assessed only by determining how accurately the control objective is achieved within the operating environment.

Option Analysis

- **A - Incorrect:** Alignment is essential but secondary to objective achievement
- **B - Incorrect:** Design effectiveness is considered after objectives
- **C - Correct:** Objective achievement is the top priority
- **D - Incorrect:** Operating effectiveness is considered but after objectives

Q26: Fast Tracking Effect

Question

When you fast track the project, what is likely to increase?

A. Human resource needs
B. Quality control concerns
C. Costs
D. Risks

Q26: Explanation

Correct Answer: D

Fast tracking allows phases to overlap and generally increases risks within the project.

Option Analysis

- **A - Incorrect:** HR is not typically affected by fast tracking
- **B - Incorrect:** Quality concerns usually not affected
- **C - Incorrect:** Costs don't generally increase from fast tracking
- **D - Correct:** Overlapping phases introduces more risk

Q27: Identifying Risk Response Type

Question

David takes actions to ensure risk event doesn't happen, costing $10,000. What risk response is this?

A. Avoidance
B. Mitigation
C. Acceptance
D. Transfer

Q27: Explanation

Correct Answer: B

Taking operational controls to reduce likelihood and impact of risk is risk mitigation.

Option Analysis

- **A - Incorrect:** Avoidance discontinues activities causing risk
- **B - Correct:** Actions reduce probability and/or impact
- **C - Incorrect:** Acceptance means no action taken
- **D - Incorrect:** Transfer would involve third party

Q28: Most Important IS Control Objective

Question

What is the MOST important objective of information system control?

A. Business objectives achieved, undesired risk detected/corrected
B. Ensuring effective and efficient operations
C. Developing business continuity plans
D. Safeguarding assets

Q28: Explanation

Correct Answer: A

The basic purpose of IS control is to ensure business objectives are achieved and undesired risk events are detected and corrected.

Option Analysis

- **A - Correct:** Primary purpose - business objectives + risk detection
- **B - Incorrect:** This is one objective but not the most important
- **C - Incorrect:** This is one objective but not the most important
- **D - Incorrect:** This is one objective but not the most important

Q29: Starting Point for IT Service Continuity

Question

Which is prepared by business and serves as starting point for IT Service Continuity Strategy?

A. Business Continuity Strategy
B. Index of Disaster-Relevant Information
C. Disaster Invocation Guideline
D. Testing Schedule

Q29: Explanation

Correct Answer: A

Business Continuity Strategy is outline of approach to ensure continuity of Vital Business Functions, prepared by business.

Option Analysis

- **A - Correct:** Business creates BCS which informs IT strategy
- **B - Incorrect:** Index is IT document for disaster information
- **C - Incorrect:** Guideline is IT document with disaster instructions
- **D - Incorrect:** Testing Schedule is IT operational document

Q30: Maturity Level XX Statement

Question

"Real-time monitoring of risk events and control exceptions exists, as does automation of policy management" describes which level?

- A Level 3
- B Level 0
- C Level 5
- D Level 2

Q30: Explanation

Correct Answer: C

Risk management capability maturity level 5 has real-time monitoring and automation of policy management.

Option Analysis

- **A - Incorrect:** Level 3 doesn't have real-time monitoring
- **B - Incorrect:** Level 0 doesn't recognize risk management
- **C - Correct:** Level 5 has real-time monitoring and automation
- **D - Incorrect:** Level 2 doesn't have real-time monitoring

Q31: CPI True Statement

Question

Which is true for Cost Performance Index (CPI)?

A. If CPI greater than 1, it indicates better than expected performance

B. CPI = EV × AC

C. CPI is used to measure schedule performance

D. If CPI = 1, it indicates poor performance

Q31: Explanation

Correct Answer: A

CPI = EV/AC. If CPI greater than 1, indicates better than expected performance. CPI = 1 indicates right on target.

Option Analysis

- **A - Correct:** greater than 1 = better than expected performance
- **B - Incorrect:** CPI = EV/AC, not EV × AC
- **C - Incorrect:** CPI measures cost performance, not schedule
- **D - Incorrect:** CPI = 1 indicates right on target

Practice: CPI Interpretation

Question

A project has an Earned Value (EV) of $200,000 and an Actual Cost (AC) of $250,000. What can be concluded?

A. The project is under budget
B. CPI is 1.25, indicating efficient cost performance
C. CPI is 0.80, indicating the project is over budget
D. SPI is 0.80, indicating schedule variance

Practice: Explanation

Correct Answer: C

CPI = EV/AC = 200,000/250,000 = 0.80. A CPI less than 1 indicates the project is spending more than planned for the work completed.

Option Analysis

- **A - Incorrect:** A CPI below 1 means the project is over budget, not under budget.
- **B - Incorrect:** The formula was calculated incorrectly. CPI equals 0.80, not 1.25.
- **C - Correct:** CPI below 1 indicates unfavorable cost performance and budget overruns.
- **D - Incorrect:** SPI measures schedule performance and cannot be calculated without Planned Value (PV).

Practice: Performance Metrics

Question

Which statement BEST distinguishes CPI from SPI?

A. CPI measures schedule efficiency while SPI measures cost efficiency

B. CPI measures cost efficiency while SPI measures schedule efficiency

C. Both CPI and SPI measure cost efficiency

D. Both CPI and SPI measure schedule efficiency

Practice: Explanation

Correct Answer: B

CPI evaluates cost performance, while SPI evaluates schedule performance.

Option Analysis

- **A - Incorrect:** The definitions are reversed.
- **B - Correct:** CPI focuses on cost, SPI focuses on schedule.
- **C - Incorrect:** SPI does not measure cost performance.
- **D - Incorrect:** CPI does not measure schedule performance.

Practice: CPI Values

Question

Which statement regarding CPI is TRUE?

A. CPI less than 1 indicates favorable cost performance

B. CPI greater than 1 indicates the project is getting less value per dollar spent

C. CPI equal to 1 indicates actual cost equals earned value

D. CPI is calculated as AC/EV

Practice: Explanation

Correct Answer: C

CPI = EV/AC. A CPI of exactly 1 means earned value equals actual cost.

Option Analysis

- **A - Incorrect:** CPI below 1 indicates poor cost performance and cost overruns.
- **B - Incorrect:** CPI above 1 indicates favorable cost performance and greater value per dollar spent.
- **C - Correct:** EV equals AC when CPI equals 1.
- **D - Incorrect:** The formula is EV/AC, not AC/EV.

Q32: NOT Indirect Information

Question

Which does NOT provide indirect information?

A. Information about propriety of cutoff
B. Reports of orders rejected for credit limitations
C. Reports of unusual deviations
D. No significant differences between perpetual and actual levels

Q32: Explanation

Correct Answer: A

Information about propriety of cutoff is direct information, not indirect.

Option Analysis

- **A - Correct:** Propriety of cutoff is direct evidence
- **B - Incorrect:** Rejected orders gives indirect info about credit controls
- **C - Incorrect:** Unusual deviations gives indirect info about billing controls
- **D - Incorrect:** No differences gives indirect info about billing controls

Q33: Salience Model Description

Question

Which activity best describes a salience model?

A. Power, urgency, and legitimacy
B. Power and interest
C. Influence and impact
D. Power and influence

Q33: Explanation

Correct Answer: A

Salience model describes stakeholders based on power (ability to impose will), urgency (need for attention), and legitimacy (appropriate involvement).

Option Analysis

- **A - Correct:** Power, urgency, legitimacy = salience model
- **B - Incorrect:** This is power/interest grid
- **C - Incorrect:** This is influence/impact grid
- **D - Incorrect:** This is power/influence grid

Q34: First Step in Risk Assessment

Question

What is the first step in the risk assessment process?

- A Identification of assets
- B Identification of threats
- C Identification of threat sources
- D Identification of vulnerabilities

Q34: Explanation

Correct Answer: A

Asset identification is the most crucial and first step in the risk assessment process.

Option Analysis

- **A - Correct:** Assets come first (people, processes, infrastructure)
- **B - Incorrect:** Threats come after asset identification
- **C - Incorrect:** Threat sources come after assets
- **D - Incorrect:** Vulnerabilities come after threat identification

Q35: Risk Threshold Specification

Question

Which matrix is used to specify risk thresholds?

A. Risk indicator matrix
B. Impact matrix
C. Risk scenario matrix
D. Probability matrix

Q35: Explanation

Correct Answer: A

Risk indicators are metrics used to indicate risk thresholds - when risk level is approaching high or unacceptable level.

Option Analysis

- **A - Correct:** Risk indicators specifically show thresholds
- **B - Incorrect:** Impact matrix helps rating risks, not thresholds
- **C - Incorrect:** Scenario matrix describes events, not thresholds
- **D - Incorrect:** Probability matrix helps rating risks, not thresholds

Q36: Major Risk Appetite Factors

Question

What are the two MAJOR factors for deciding risk appetite? (Choose two)

- A Amount of loss enterprise wants to accept
- B Alignment with risk-culture
- C Risk-aware decisions
- D Capacity to absorb loss

Q36: Explanation

Correct Answer: A and D

Two major factors: (1) capacity to absorb loss, (2) culture towards risk taking - amount of loss enterprise wants to accept.

Option Analysis

- **A - Correct:** Amount of loss to accept is key factor
- **B - Incorrect:** Alignment with risk-culture is secondary
- **C - Incorrect:** Risk-aware decisions are results, not factors
- **D - Correct:** Capacity to absorb loss is key factor

Q37: Process Responsible for Risk Updates

Question

Which process is responsible for identifying new risks, changing risks, and outdated risks?

A. Risk planning
B. Risk monitoring and controlling
C. Risk identification
D. Risk analysis

Q37: Explanation

Correct Answer: B

Risk monitoring and controlling is responsible for identifying new risks, determining status of changed risks, and outdated risks.

Option Analysis

- **A - Incorrect:** Planning creates methodology
- **B - Correct:** Monitoring tracks risk status changes
- **C - Incorrect:** Identification happens before analysis
- **D - Incorrect:** Analysis determines severity, not dynamic changes

Q38: SLE Calculation

Question

Asset valued at $125,000 subjected to exposure factor of 25%. What is Single Loss Expectancy?

- A $125,025
- B $31,250
- C $5,000
- D $3,125,000

Q38: Explanation

Correct Answer: B

SLE = Asset Value × Exposure Factor = $125,000 × 0.25 = $31,250

Option Analysis

- **A - Incorrect:** $125,025 is adding instead of multiplying
- **B - Correct:** $125,000 × 0.25 = $31,250
- **C - Incorrect:** $5,000 = incorrect calculation
- **D - Incorrect:** $3,125,000 is dividing instead of multiplying

Q39: Access Control Principles

Question

Which are principles of access controls? (Choose three)

- A Confidentiality
- B Availability
- C Reliability
- D Integrity

Q39: Explanation

Correct Answer: A, B, D

Access controls focus on Confidentiality, Integrity, and Availability (CIA triad).

Option Analysis

- **A - Correct:** Confidentiality is core principle
- **B - Correct:** Availability is core principle
- **C - Incorrect:** Reliability is not a CIA principle
- **D - Correct:** Integrity is core principle

Q40: Maintaining KRIs Reason

Question

What is the MOST important reason to maintain Key Risk Indicators?

- A Risk reports need to be timely
- B Complex metrics require fine-tuning
- C Threats and vulnerabilities change over time
- D They help to avoid risk

Q40: Explanation

Correct Answer: C

Since internal and external environments constantly change, KRIs need to effectively capture these changes.

Option Analysis

- **A - Incorrect:** Timeliness is business requirement, not maintenance reason
- **B - Incorrect:** Fine-tuning is secondary to capturing changes
- **C - Correct:** Threats and vulnerabilities change over time
- **D - Incorrect:** Avoiding risk is a response, not maintenance reason

Q41: NOT Technical Control

Question

Which control does NOT come under technical class of control?

- A Program management control
- B System and Communications Protection control
- C Identification and Authentication control
- D Access Control

Q41: Explanation

Correct Answer: A

Program Management control comes under management class of controls, not technical.

Option Analysis

- **A - Correct:** Program Management is management class
- **B - Incorrect:** SC family is technical class
- **C - Incorrect:** IA family is technical class
- **D - Incorrect:** AC family is technical class

Q42: Risk Identification Method

Question

Mary uses a facilitator to help generate ideas about project risks. What method is she using?

A. Delphi Techniques
B. Expert judgment
C. Brainstorming
D. Checklist analysis

Q42: Explanation

Correct Answer: C

Brainstorming attempts to create a comprehensive list of risks and is often led by a moderator or facilitator.

Option Analysis

- **A - Incorrect:** Delphi uses anonymous surveys, no facilitator
- **B - Incorrect:** Expert judgment is individual assessment
- **C - Correct:** Brainstorming uses facilitator for idea generation
- **D - Incorrect:** Checklist uses historical information

Practice: Delphi Technique

Question

A project manager wants to gather risk opinions from subject matter experts located across several countries. The experts should not know one another's identities in order to avoid bias and group influence. Which technique is MOST appropriate?

A. Brainstorming
B. Checklist Analysis
C. Delphi Technique
D. Expert Judgment

Practice: Explanation

Correct Answer: C

The Delphi Technique uses anonymous expert input collected through multiple rounds to achieve consensus while reducing bias.

Option Analysis

- **A - Incorrect:** Brainstorming involves open discussion rather than anonymous feedback.
- **B - Incorrect:** Checklist analysis relies on historical risk lists and templates.
- **C - Correct:** Delphi uses anonymous expert surveys to build consensus.
- **D - Incorrect:** Expert judgment may involve experts, but anonymity is not required.

Practice: Expert Judgment

Question

The project manager consults a senior cybersecurity specialist with 25 years of experience to evaluate the likelihood of a ransomware attack. Which risk identification technique is being used?

- A Expert Judgment
- B Delphi Technique
- C Brainstorming
- D Checklist Analysis

Practice: Explanation

Correct Answer: A

Expert judgment uses the knowledge and experience of individuals with specialized expertise.

Option Analysis

- **A - Correct:** A subject matter expert is providing a professional assessment.
- **B - Incorrect:** Delphi requires multiple anonymous experts.
- **C - Incorrect:** Brainstorming involves group idea generation.
- **D - Incorrect:** Checklist analysis relies on documented historical risks.

Practice: Brainstorming

Question

A facilitator gathers representatives from compliance, technology, operations, and audit into a workshop to generate as many potential project risks as possible. Which technique is being used?

A. Brainstorming
B. Delphi Technique
C. Expert Judgment
D. Checklist Analysis

Practice: Explanation

Correct Answer: A

Brainstorming is a group creativity technique used to generate a comprehensive list of risks.

Option Analysis

- **A - Correct:** Facilitated group discussion is the hallmark of brainstorming.
- **B - Incorrect:** Delphi avoids direct interaction among participants.
- **C - Incorrect:** Expert judgment usually relies on individual expertise.
- **D - Incorrect:** Checklist analysis reviews predefined risk lists.

Practice: Checklist Analysis

Question

A risk analyst reviews lessons learned and risk registers from similar projects and compares them against a predefined list of common risks. Which technique is being used?

A. Brainstorming
B. Expert Judgment
C. Checklist Analysis
D. Delphi Technique

Practice: Explanation

Correct Answer: C

Checklist analysis identifies risks using historical information and predefined risk categories.

Option Analysis

- **A - Incorrect:** Brainstorming creates new ideas through discussion.
- **B - Incorrect:** Expert judgment uses individual expertise rather than historical checklists.
- **C - Correct:** Checklist analysis relies on established risk lists and prior experience.
- **D - Incorrect:** Delphi uses anonymous expert feedback rather than documented checklists.

Q43: Administrative Control Example

Question

Which is an administrative control?

- A Water detection
- B Reasonableness check
- C Data loss prevention program
- D Session timeout

Q43: Explanation

Correct Answer: C

Data Loss Prevention program is an administrative control (program consists of projects, policies).

Option Analysis

- **A - Incorrect:** Water detection is physical/technical
- **B - Incorrect:** Reasonableness check is technical
- **C - Correct:** DLP program is administrative
- **D - Incorrect:** Session timeout is technical

Q44: Plan Creation

Question

What document defines how risks will be identified, quantified, and contingency plans implemented?

A. Project plan
B. Resource management plan
C. Project management plan
D. Risk management plan

Q44: Explanation

Correct Answer: D

Risk management plan defines how risks will be identified, analyzed, monitored, controlled, and responded to.

Option Analysis

- **A - Incorrect:** Project plan is not official PMBOK plan
- **B - Incorrect:** Resource plan manages people/equipment
- **C - Incorrect:** PM plan is overarching, not risk-specific
- **D - Correct:** Risk management plan specifically addresses risk

Q45: Where Risks and Responses are Documented

Question

Where are all risks and risk responses documented as project progresses?

A. Risk management plan
B. Project management plan
C. Risk response plan
D. Risk register

Q45: Explanation

Correct Answer: D

All risks, their responses, and other characteristics are documented in the risk register.

Option Analysis

- **A - Incorrect:** Risk Management Plan is methodology, not documentation
- **B - Incorrect:** PM plan is overarching
- **C - Incorrect:** Risk response plan addresses planned responses only
- **D - Correct:** Risk register is the repository for all risk information

Q46: Hiring Third Party

Question

Hiring a company to deal with all hardware work is which type of risk response?

A. Transference
B. Mitigation
C. Avoidance
D. Exploit

Q46: Explanation

Correct Answer: A

Hiring a third party to own risk is risk transference.

Option Analysis

- **A - Correct:** Transfer risk to another party
- **B - Incorrect:** Mitigation is spending money to reduce risk
- **C - Incorrect:** Avoidance adds activities to prevent risk
- **D - Incorrect:** Exploit is for positive risks/opportunities

Q47: Risk Identification Input

Question

Which input of identify risks process helps identify risks associated with time allowances?

A. Activity duration estimates
B. Activity cost estimates
C. Risk management plan
D. Schedule management plan

Q47: Explanation

Correct Answer: A

Activity duration estimates review helps identify risks associated with time allowances, with width of range indicating risk degree.

Option Analysis

- **A - Correct:** Duration estimates identify time risks
- **B - Incorrect:** Cost estimates identify cost risks
- **C - Incorrect:** Risk plan identifies methodology
- **D - Incorrect:** Schedule plan describes reporting

Q48: Loss of Integrity Events

Question

Which events refer to loss of integrity? (Choose three)

- A Someone sees company's secret formula
- B Someone makes unauthorized changes to a Web site
- C An e-mail message is modified in transit
- D A virus infects a file

Q48: Explanation

Correct Answer: B, C, D

Loss of integrity includes: message modified in transit, virus infects file, unauthorized Web site changes.

Option Analysis

- **A - Incorrect:** Seeing secret formula = loss of confidentiality
- **B - Correct:** Unauthorized changes = integrity loss
- **C - Correct:** Message modified = integrity loss
- **D - Correct:** Virus infects file = integrity loss

Q49: First Step in IS Control Design

Question

What should be PRIMARILY considered while designing information systems controls?

A. The IT strategic plan
B. The existing IT environment
C. The organizational strategic plan
D. The present IT budget

Q49: Explanation

Correct Answer: C

Review of enterprise's strategic plan is the first step in designing effective IS controls that fit enterprise's long-term plans.

Option Analysis

- **A - Incorrect:** IT plan supports enterprise plan, not primary
- **B - Incorrect:** Existing environment review is useful but secondary
- **C - Correct:** Organizational strategic plan is primary
- **D - Incorrect:** Budget is one component, not primary

Q50: Most Effective Communication Inhibitor

Question

Which is the MOST effective inhibitor of relevant and efficient communication?

A. False sense of confidence at top
B. Perception of covering up known risk
C. Existence of a blame culture
D. Misalignment between risk appetite and policies

Q50: Explanation

Correct Answer: C

Blame culture is the most effective inhibitor. Business units point fingers at IT when projects fail.

Option Analysis

- **A - Incorrect:** This is consequence of poor communication
- **B - Incorrect:** This is consequence of poor communication
- **C - Correct:** Blame culture directly inhibits collaboration
- **D - Incorrect:** Misalignment is inhibitor but not as prominent

Q51: Handling Small Risks

Question

What should you do with small risks that won't affect the project much?

A. These risks can be dismissed
B. These risks can be accepted
C. Added to low priority risk watch list
D. All risks must have valid documented risk response

Q51: Explanation

Correct Answer: C

Low-impact, low-probability risks can be added to the low priority risk watch list.

Option Analysis

- **A - Incorrect:** Risks are not dismissed; they are documented
- **B - Incorrect:** They may be accepted but should be documented on watch list
- **C - Correct:** Watch list for future monitoring
- **D - Incorrect:** Not every risk demands a response

Q52: Intrusion Detection System Type

Question

What type of control is an intrusion detection system (IDS)?

A. Detective
B. Corrective
C. Preventative
D. Recovery

Q52: Explanation

Correct Answer: A

IDS detects and gives warning when policy violation occurs; it is a detective control.

Option Analysis

- **A - Correct:** IDS detects and alerts
- **B - Incorrect:** Corrective reduces impact after detection
- **C - Incorrect:** Preventive would stop before occurrence
- **D - Incorrect:** Recovery overcomes impact on business

Q53: Audit and Accountability Functions

Question

What are functions of audit and accountability control? (Choose three)

- A Provides details on how to protect audit logs
- B Implement effective access control
- C Implement an effective audit program
- D Provides details on how to determine what to audit

Q53: Explanation

Correct Answer: A, C, D

Audit and accountability helps: implement audit program, determine what to audit, protect audit logs, non-repudiation.

Option Analysis

- **A - Correct:** Protects audit logs
- **B - Incorrect:** Access control is separate family
- **C - Correct:** Implements audit program
- **D - Correct:** Determines what to audit

Q54: Trigger for Risk Response

Question

Which acts as a trigger for risk response process?

A. Risk level increases above risk appetite
B. Risk level increases above risk tolerance
C. Risk level equates risk appetite
D. Risk level equates risk tolerance

Q54: Explanation

Correct Answer: B

Risk response process is triggered when a risk exceeds the enterprise's risk tolerance level.

Option Analysis

- **A - Incorrect:** Appetite is not the trigger
- **B - Correct:** Tolerance exceeded = trigger
- **C - Incorrect:** Equating appetite is not trigger
- **D - Incorrect:** Equating tolerance is not trigger

Q55: Complete Asset Loss

Question

What is the value of exposure factor if the asset is lost completely?

A. 1
B. Infinity
C. 10
D. 0

Q55: Explanation

Correct Answer: A

Exposure Factor = 1.0 when asset is completely lost (100% loss).

Option Analysis

- **A - Correct:** 1.0 = 100% loss
- **B - Incorrect:** Infinity is not used
- **C - Incorrect:** 10 is not valid
- **D - Incorrect:** 0 = 0% loss

Q56: Exploiting Positive Risk

Question

Discovering a profitable byproduct from your project is an example of what risk response?

A. Enhancing
B. Positive
C. Opportunistic
D. Exploiting

Q56: Explanation

Correct Answer: D

This is exploiting a positive risk - a byproduct is an excellent example of exploiting an opportunity.

Option Analysis

- **A - Incorrect:** Enhancing increases probability, not seizing
- **B - Incorrect:** Positive describes risk type, not response
- **C - Incorrect:** Opportunistic is not a valid risk response
- **D - Correct:** Exploiting seizes the opportunity

Q57: ALE Formula

Question

Which is true for SLE, ARO, and ALE?

A. ALE = ARO / SLE
B. ARO = SLE / ALE
C. ARO = ALE × SLE
D. ALE = ARO × SLE

Q57: Explanation

Correct Answer: D

$\text{ALE} = \text{SLE} \times \text{ARO}$

Option Analysis

- **A - Incorrect:** Wrong formula
- **B - Incorrect:** Wrong formula
- **C - Incorrect:** Wrong formula
- **D - Correct:** $\text{ALE} = \text{ARO} \times \text{SLE}$

Q58: Maturity Level 3 Statements

Question

Which statements are true for risk management capability maturity level 3?

- A Workflow tools used to accelerate risk issues
- B Business knows IT fits in enterprise risk universe
- C Formal continuous improvement required
- D Risk viewed as business issue

Q58: Explanation

Correct Answer: A, B, D

Level 3: risk viewed as business issue, business knows IT fits in risk universe, workflow tools used.

Option Analysis

- **A - True:** Workflow tools used in Level 3
- **B - True:** IT fits in risk universe at Level 3
- **C - Not True:** This is Level 5
- **D - True:** Risk viewed as business issue at Level 3

Q59: Analyzing Risks Responsibility

Question

Which role carrier is accounted for analyzing risks, maintaining risk profile, and risk-aware decisions?

A. Business management
B. Business process owner
C. Chief information officer
D. Chief risk officer

Q59: Explanation

Correct Answer: A

Business management is accountable for analyzing risks, maintaining risk profile, and risk-aware decisions.

Option Analysis

- **A - Correct:** Business management accountable
- **B - Incorrect:** Process owner responsible but not accountable
- **C - Incorrect:** CIO has some responsibility but not accountability
- **D - Incorrect:** CRO has oversight, not direct accountability

Q60: Poor Password and Unsafe Transmission

Question

Choosing poor password and transmitting data unprotected refers to?

A. Probabilities
B. Threats
C. Vulnerabilities
D. Impacts

Q60: Explanation

Correct Answer: C

Vulnerabilities are characteristics that may be exploited by a threat. Poor password and unprotected transmission are vulnerabilities.

Option Analysis

- **A - Incorrect:** Probability is likelihood of occurrence
- **B - Incorrect:** Threat is potential cause of harm
- **C - Correct:** Vulnerabilities are weaknesses
- **D - Incorrect:** Impact is result of exploitation

Q61: Ensuring Outsourced Compliance

Question

Which is BEST way to ensure outsourced service providers comply with security policy?

- A Penetration testing
- B Service level monitoring
- C Security awareness training
- D Periodic audits

Q61: Explanation

Correct Answer: D

Periodic audits can spot gaps in information security compliance.

Option Analysis

- **A - Incorrect:** Penetration testing identifies vulnerability, not compliance
- **B - Incorrect:** Service monitoring identifies operational issues
- **C - Incorrect:** Training increases awareness but less effective
- **D - Correct:** Periodic audits ensure compliance

Q62: Risk Prioritization Category

Question

Re-architecting existing system due to complexity - which risk prioritization option?

A. Deferrals
B. Quick win
C. Business case to be made
D. Contagious risk

Q62: Explanation

Correct Answer: C

This is categorized as business case to be made because the response requires quite large investment.

Option Analysis

- **A - Incorrect:** Deferrals address costly response to low risk
- **B - Incorrect:** Quick win requires small investment
- **C - Correct:** Large investment = business case to be made
- **D - Incorrect:** Contagious risk is a type of risk, not prioritization

Q63: Ensuring Firewall Compliance

Question

What BEST ensures firewall configured in compliance with security policy?

- A Interview the firewall administrator
- B Review the actual procedures
- C Review device's log file
- D Review the parameter settings

Q63: Explanation

Correct Answer: D

Review of parameter settings provides basis for comparison of actual configuration to security policy.

Option Analysis

- **A - Incorrect:** Interview provides overview, not confirmation
- **B - Incorrect:** Procedures show how it should be managed, not compliance
- **C - Incorrect:** Log review shows logging is enabled, not configuration
- **D - Correct:** Parameter settings show actual configuration

Q64: NOT Used for CSF Measurement

Question

Which is NOT used for measurement of Critical Success Factors?

A. Productivity
B. Quality
C. Quantity
D. Customer service

Q64: Explanation

Correct Answer: C

Quantity is NOT used for measuring Critical Success Factors.

Option Analysis

- **A - Incorrect:** Productivity is used
- **B - Incorrect:** Quality is used
- **C - Correct:** Quantity is not used
- **D - Incorrect:** Customer service is used

Q65: Risk Management Plan Statement

Question

Which statement is NOT true regarding risk management plan?

- A Output of Plan Risk Management
- B Input to all remaining risk-planning
- C Includes description of risk responses and triggers
- D Includes thresholds, scoring, responsible parties, budgets

Q65: Explanation

Correct Answer: C

Risk management plan does NOT include responses to risks or triggers. Responses are in risk register.

Option Analysis

- **A - True:** Output of Plan Risk Management
- **B - True:** Input to other processes
- **C - Not True:** Responses/triggers are in risk register
- **D - True:** Includes thresholds, scoring, parties, budgets

Q66: Choosing Risk Response Tool

Question

Which tool would you use to choose appropriate risk response?

A. Project network diagrams
B. Cause-and-effect analysis
C. Decision tree analysis
D. Delphi Technique

Q66: Explanation

Correct Answer: C

Decision tree analysis helps determine best risk response by measuring probability, impact, and risk exposure.

Option Analysis

- **A - Incorrect:** Network diagrams visualize workflow
- **B - Incorrect:** Cause-effect exposes risk factors
- **C - Correct:** Decision tree evaluates response options
- **D - Incorrect:** Delphi identifies most probable risks

Q67: Risk Management Maturity Level

Question

Enterprise takes decisions without risk credential information - which maturity level?

- A Level 1
- B Level 0
- C Level 5
- D Level 4

Q67: Explanation

Correct Answer: B

Level 0: enterprise does not recognize need to consider risk management, decisions lack credible information.

Option Analysis

- **A - Incorrect:** Level 1 uses credible information
- **B - Correct:** Level 0 lacks risk awareness and information
- **C - Incorrect:** Level 5 has full automation
- **D - Incorrect:** Level 4 integrates with ERM

Q68: Data Owner Priority

Question

Which is priority of data owners when establishing risk mitigation method?

A. User entitlement changes
B. Platform security
C. Intrusion detection
D. Antivirus controls

Q68: Explanation

Correct Answer: A

Data owners are responsible for assigning user entitlement changes and approving access to systems.

Option Analysis

- **A - Correct:** User entitlement changes = data owner responsibility
- **B - Incorrect:** Platform security = data custodian
- **C - Incorrect:** Intrusion detection = data custodian
- **D - Incorrect:** Antivirus controls = data custodian

Q69: Forbidding Personal Email Use

Question

What policy forbids employees from using organizational e-mail for personal use?

A. Anti-harassment policy
B. Acceptable use policy
C. Intellectual property policy
D. Privacy policy

Q69: Explanation

Correct Answer: B

Acceptable Use Policy (AUP) restricts ways network, website or system may be used.

Option Analysis

- **A - Incorrect:** Anti-harassment is not IS security
- **B - Correct:** AUP defines acceptable system usage
- **C - Incorrect:** Intellectual property is not personal email
- **D - Incorrect:** Privacy policy is about data handling

Q70: Risk Response Identification

Question

Wendy reduces risk impact from $75,000 to $15,000 with 10% chance, costing $25,000. What risk response?

A. Mitigation
B. Avoidance
C. Transference
D. Enhancing

Q70: Explanation

Correct Answer: A

Mitigation implies reduction in probability and/or impact of adverse risk event within acceptable thresholds.

Option Analysis

- **A - Correct:** Reduction of impact and probability
- **B - Incorrect:** Avoidance changes plan to avoid entirely
- **C - Incorrect:** Transference shifts to third party
- **D - Incorrect:** Enhancing is for positive risks

Q71: Plan Risk Response Process

Question

Which process addresses risks by priorities, schedules PM plan as required, inserts resources into budget?

A. Monitor and Control Risk
B. Plan risk response
C. Identify Risks
D. Qualitative Risk Analysis

Q71: Explanation

Correct Answer: B

Plan Risk Response addresses risks by priorities, schedules PM plan, and inserts resources and activities into budget.

Option Analysis

- **A - Incorrect:** Monitor and Control implements responses
- **B - Correct:** Plan Risk Response prioritizes and schedules
- **C - Incorrect:** Identify Risks determines risks
- **D - Incorrect:** Qualitative Analysis assesses nature of risks

Q72: Negative Risk Response

Question

Which risk response is used for negative risk events?

A. Share
B. Enhance
C. Exploit
D. Accept

Q72: Explanation

Correct Answer: D

Acceptance is used for negative risk events. Share, Enhance, Exploit are for positive risks.

Option Analysis

- **A - Incorrect:** Share is for positive risks
- **B - Incorrect:** Enhance is for positive risks
- **C - Incorrect:** Exploit is for positive risks
- **D - Correct:** Accept is for negative risks

Q73: Investment Risk Definition

Question

Which risk refers to probability that actual return is lower than investor's expectations?

A. Integrity risk
B. Project ownership risk
C. Relevance risk
D. Expense risk

Q73: Explanation

Correct Answer: D

Expense risk is probability that actual return on investment will be lower than investor's expectations.

Option Analysis

- **A - Incorrect:** Integrity = data cannot be relied on
- **B - Incorrect:** Project ownership = lack of accountability
- **C - Incorrect:** Relevance = wrong info to wrong people
- **D - Correct:** Expense risk = lower than expected return

Q74: PRIMARY Requirements for Risk Scenarios

Question

What are PRIMARY requirements for developing risk scenarios? (Choose two)

- A Potential threats and vulnerabilities
- B Determination of value of asset at risk
- C Determination of actors
- D Determination of threat type

Q74: Explanation

Correct Answer: A and B

Primary requirements: value of asset/business process at risk, and potential threats and vulnerabilities.

Option Analysis

- **A - Correct:** Threats and vulnerabilities are primary
- **B - Correct:** Asset value is primary
- **C - Incorrect:** Actors are secondary components
- **D - Incorrect:** Threat type is secondary component

Q75: CRO Responsibilities

Question

What are responsibilities of the CRO? (Choose three)

- A Managing risk assessment process
- B Implement corrective actions
- C Advising Board of Directors
- D Managing supporting risk management function

Q75: Explanation

Correct Answer: A, B, D

CRO responsibilities: managing risk assessment, implementing corrective actions, supporting risk management functions.

Option Analysis

- **A - Correct:** Managing risk assessment process
- **B - Correct:** Implementation of corrective actions
- **C - Incorrect:** CRO advises but this is not primary responsibility listed
- **D - Correct:** Supporting risk management functions

Q76: Vendor Change Control System

Question

Which system introduces and executes stakeholder change request with vendor?

A. Contract change control system
B. Scope change control system
C. Cost change control system
D. Schedule change control system

Q76: Explanation

Correct Answer: A

Contract change control system addresses changes with vendor that may affect the project contract.

Option Analysis

- **A - Correct:** Contract change control for vendor changes
- **B - Incorrect:** Scope may change but vendor relationship is contract
- **C - Incorrect:** Cost change system manages cost changes
- **D - Incorrect:** No schedule impact indicated

Q77: When Control Costs Exceed Benefits

Question

Costs of specific controls exceed benefits of mitigating a given risk. What is BEST action?

- A Apply the appropriate control anyway
- B Adopt corrective control
- C Accept the risk rather than incur cost of mitigation
- D Exploit the risk

Q77: Explanation

Correct Answer: C

If control costs exceed benefits, enterprise may accept risk rather than incur cost of mitigation.

Option Analysis

- **A - Incorrect:** Controls are not applied when cost exceeds benefit
- **B - Incorrect:** No control should be adopted
- **C - Correct:** Accept risk when mitigation cost exceeds benefit
- **D - Incorrect:** Exploit is for opportunities, not negative risk

Q78: Mortality Tables Mathematics

Question

Mortality tables are based on what mathematical activity? (Choose three)

- A Normal distributions
- B Probabilities
- C Impact
- D Sampling

Q78: Explanation

Correct Answer: A, B, D

Mortality tables use: normal distributions, probabilities, and sampling. Impact is not mathematical.

Option Analysis

- **A - Correct:** Normal distributions used
- **B - Correct:** Probabilities used
- **C - Incorrect:** Impact uses words (Low/Medium/High), not mathematical
- **D - Correct:** Sampling used

Q79: Hiring Professional Vendor

Question

Harry hires professional vendor to complete dangerous portion of work. What risk response?

A. Transference
B. Mitigation
C. Acceptance
D. Avoidance

Q79: Explanation

Correct Answer: A

Risk transfer shifts impact to another entity. Risk doesn't go away but responsibility is transferred.

Option Analysis

- **A - Correct:** Transfer to professional vendor
- **B - Incorrect:** Mitigation would reduce risk in-house
- **C - Incorrect:** Acceptance would retain risk
- **D - Incorrect:** Avoidance removes risk entirely

Q80: Why Project Team in Risk Identification

Question

Why should project team members be involved in Identify Risk process?

A. They will most likely cause risk events
B. They will have best responses
C. They are most affected
D. They will need sense of ownership and responsibility

Q80: Explanation

Correct Answer: D

Project team develops sense of ownership and responsibility for risk events and associated responses.

Option Analysis

- **A - Incorrect:** Not the primary reason
- **B - Incorrect:** Not the primary reason
- **C - Incorrect:** Not the primary reason
- **D - Correct:** Ownership and responsibility

Q81: Risk Monitoring Requirements

Question

What are requirements of monitoring risk? (Choose three)

- A Information of various stakeholders
- B Preparation of detailed monitoring plan
- C Identifying the risk to be monitored
- D Defining the project's scope

Q81: Explanation

Correct Answer: B, C, D

Requirements: identify risk to monitor, prepare detailed plan, define project scope.

Option Analysis

- **A - Incorrect:** Stakeholder info not required for monitoring
- **B - Correct:** Detailed monitoring plan
- **C - Correct:** Identify risk to monitor
- **D - Correct:** Define project scope

Q82: Insurance Risk Management Technique

Question

Liability insurance policy for security risks uses which risk management technique?

A. Risk transfer
B. Risk acceptance
C. Risk avoidance
D. Risk mitigation

Q82: Explanation

Correct Answer: A

Insurance transfers security risks from company to insurance company.

Option Analysis

- **A - Correct:** Transfer risk to insurance
- **B - Incorrect:** Acceptance retains risk
- **C - Incorrect:** Avoidance not performing activity
- **D - Incorrect:** Mitigation reduces severity/likelihood

Q83: Improving Performance Through Risk Analysis

Question

How can you improve project performance through risk analysis with stakeholders?

A. Involve subject matter experts

B. Involve stakeholders only in relevant phases

C. Use qualitative risk analysis quickly

D. Focus on high-priority risks through qualitative analysis

Q83: Explanation

Correct Answer: D

By focusing on high-priority risk events through qualitative risk analysis, you can improve project performance.

Option Analysis

- **A - Incorrect:** SMEs help but not best approach
- **B - Incorrect:** Stakeholders should be involved throughout
- **C - Incorrect:** Qualitative is fast but not best answer
- **D - Correct:** Focus on high-priority risks

Q84: When Risk Events Occur

Question

Which statement best addresses when a project risk actually happens?

A. Risks are uncertain as to when they will happen
B. Risks can happen at any time
C. Project risks are always in the future
D. Risk triggers are warning signs

Q84: Explanation

Correct Answer: C

According to PMBOK, a project risk is always in the future. If risk has happened, it's an issue.

Option Analysis

- **A - Incorrect:** Risks are uncertain but can be identified
- **B - Incorrect:** Risks only happen in the future
- **C - Correct:** Risks are always in the future
- **D - Incorrect:** This is true but not best answer

Q85: Indication of High Risk Level

Question

Which is MOST effective method for indicating risk level approaching unacceptable level?

A. Risk register
B. Cause and effect diagram
C. Risk indicator
D. Return on investment

Q85: Explanation

Correct Answer: C

Risk indicators are metrics used to indicate risk thresholds - when risk level is approaching high level.

Option Analysis

- **A - Incorrect:** Register is inventory, not indicator
- **B - Incorrect:** Cause-effect identifies root causes
- **C - Correct:** Risk indicators show thresholds
- **D - Incorrect:** ROI is performance measure

Q86: Risk Information Sharing

Question

Which plan defines who will be available to share information on project risks?

A. Risk Management Plan
B. Stakeholder management strategy
C. Communications Management Plan
D. Resource Management Plan

Q86: Explanation

Correct Answer: C

Communications Management Plan defines who will be available to share information on risks and responses.

Option Analysis

- **A - Incorrect:** Risk plan defines identification/analysis
- **B - Incorrect:** Stakeholder strategy doesn't address
- **C - Correct:** Communications Plan defines roles
- **D - Incorrect:** Resource plan doesn't define risk communications

Q87: Anonymous Risk Identification

Question

Which method allows participants to anonymously identify risk events?

A. Delphi technique
B. Root cause analysis
C. Isolated pilot groups
D. SWOT analysis

Q87: Explanation

Correct Answer: A

Delphi technique uses rounds of anonymous surveys to build consensus and prevents individuals from influencing others.

Option Analysis

- **A - Correct:** Anonymous Delphi technique
- **B - Incorrect:** Root cause is not anonymous
- **C - Incorrect:** Isolated pilot groups is not valid
- **D - Incorrect:** SWOT is not anonymous

Q88: Lack of Adequate Controls

Question

Which represents lack of adequate controls?

A. Vulnerability
B. Threat
C. Asset
D. Impact

Q88: Explanation

Correct Answer: A

Vulnerability is a weakness or lack of safeguard that can be exploited by a threat.

Option Analysis

- **A - Correct:** Vulnerability = lack of adequate controls
- **B - Incorrect:** Threat is potential cause
- **C - Incorrect:** Asset is economic resource
- **D - Incorrect:** Impact is financial loss measure

Q89: NOT in Risk Register Update

Question

Which is NOT included in risk register updates from qualitative risk analysis?

A. Trends in qualitative risk analysis
B. Risk probability-impact matrix
C. Risks grouped by categories
D. Watchlist of low-priority risks

Q89: Explanation

Correct Answer: B

Risk probability-impact matrix is NOT included in risk register updates. The matrix is a tool.

Option Analysis

- **A - Incorrect:** Trends are included
- **B - Correct:** Matrix is not included
- **C - Incorrect:** Categories are included
- **D - Incorrect:** Watchlist is included

Q90: Systemic Risk

Question

Risk that happens with important business partner and affects large group of enterprises?

A. Contagious risk
B. Reporting risk
C. Operational risk
D. Systemic risk

Q90: Explanation

Correct Answer: D

Systemic risks happen with important business partner and affect large group of enterprises within an area or industry.

Option Analysis

- **A - Incorrect:** Contagious = risk events with several partners
- **B - Incorrect:** Reporting = bad decisions from wrong reporting
- **C - Incorrect:** Operational = day-to-day operations risk
- **D - Correct:** Systemic = large group affected

Q91: Risk Prioritization Tool

Question

What do you need next to prioritize risks after calculating probability and impact?

A. Affinity Diagram
B. Risk rating rules
C. Project Network Diagram
D. Risk categories

Q91: Explanation

Correct Answer: B

Risk rating rules define how to prioritize risks after probability and impact values are calculated.

Option Analysis

- **A - Incorrect:** Affinity sorts ideas
- **B - Correct:** Risk rating rules prioritize
- **C - Incorrect:** Network shows sequencing
- **D - Incorrect:** Categories are output, not tool

Q92: Change Request Immediate Action

Question

Customer requests change in existing project plan. What is your immediate action?

A. Update risk register
B. Ask for formal change request
C. Ignore request
D. Refuse change request

Q92: Explanation

Correct Answer: B

Whenever customer requests change, ask for formal change request.

Option Analysis

- **A - Incorrect:** First action is formal change request
- **B - Correct:** Require formal change request
- **C - Incorrect:** Cannot ignore
- **D - Incorrect:** Cannot refuse without analysis

Q93: Certainty Equivalent Value

Question

"Expected guaranteed value of taking a risk" describes what?

A. Certainty equivalent value
B. Risk premium
C. Risk value guarantee
D. Certain value assurance

Q93: Explanation

Correct Answer: A

Certainty equivalent value is the expected guaranteed value of taking a risk.

Option Analysis

- **A - Correct:** Certainty equivalent value
- **B - Incorrect:** Risk premium is difference between expected value and certainty equivalent
- **C - Incorrect:** Not a valid term
- **D - Incorrect:** Not a valid term

Q94: Risk Trigger

Question

Hardware vendor calls saying delivery won't arrive on time. What is this?

A. Residual risk
B. Trigger
C. Contingency plan
D. Secondary risk

Q94: Explanation

Correct Answer: B

Triggers are warning signs of upcoming risk event. Delay in delivery is a trigger.

Option Analysis

- **A - Incorrect:** Residual remains after applying controls
- **B - Correct:** Trigger is warning sign
- **C - Incorrect:** No contingency plan mentioned
- **D - Incorrect:** Secondary from implementing response

Q95: NOT an Input to Quantitative Analysis

Question

Which is NOT an input to quantitative risk analysis process?

- A Risk management plan
- B Enterprise environmental factors
- C Cost management plan
- D Risk register

Q95: Explanation

Correct Answer: B

Enterprise environmental factors is NOT an input to quantitative risk analysis.

Option Analysis

- **A - Incorrect:** Risk management plan is input
- **B - Correct:** EEF is not an input
- **C - Incorrect:** Cost management plan is input
- **D - Incorrect:** Risk register is input

Q96: Low Probability and Impact Risks

Question

What should Stephen do with 47 risks that have low probability and low impact?

A. Accept the risks
B. Add to watchlist for future monitoring
C. Dismiss the risks
D. Add to risk register

Q96: Explanation

Correct Answer: B

Low probability and low impact risks should be added to a watchlist for future monitoring.

Option Analysis

- **A - Incorrect:** They may be accepted but best is watchlist
- **B - Correct:** Watchlist for future monitoring
- **C - Incorrect:** Risks are not dismissed
- **D - Incorrect:** Best is watchlist first

Q97: Newly Identified Risks

Question

Jenny uncovers several risk events during quantitative risk analysis. What should she do?

A. Enter into qualitative analysis
B. Determine if accepted or responded to
C. Enter into risk register
D. Continue with quantitative analysis

Q97: Explanation

Correct Answer: C

All identified risk events should be entered into the risk register.

Option Analysis

- **A - Incorrect:** Document first
- **B - Incorrect:** Document and analyze
- **C - Correct:** Enter in risk register
- **D - Incorrect:** Need identification first

Q98: Not Engaging in Activity

Question

Enterprise chooses not to engage in e-commerce. What risk form is this?

A. Risk avoidance
B. Risk treatment
C. Risk acceptance
D. Risk transfer

Q98: Explanation

Correct Answer: A

Not engaging in any activity avoids the inherent risk associated with the activity.

Option Analysis

- **A - Correct:** Avoidance = not performing activity
- **B - Incorrect:** Treatment = reducing frequency/impact
- **C - Incorrect:** Acceptance = informed decision to accept
- **D - Incorrect:** Transfer = sharing with another party

Q99: COSO ERM Risk Components

Question

Which are risk components of COSO ERM framework? (Choose three)

- A Risk response
- B Internal environment
- C Business continuity
- D Control activities

Q99: Explanation

Correct Answer: A, B, D

COSO ERM components: internal environment, objective settings, event identification, risk assessment, risk response, control activities, information/communication, monitoring.

Option Analysis

- **A - Correct:** Risk response is component
- **B - Correct:** Internal environment is component
- **C - Incorrect:** Business continuity is NOT component
- **D - Correct:** Control activities is component

Q100: Quantitative Risk Analysis Update

Question

Which component is likely updated in risk register based on quantitative analysis?

A. Listing of risk responses
B. Risk ranking matrix
C. Listing of prioritized risks
D. Qualitative analysis outcomes

Q100: Explanation

Correct Answer: C

Quantitative analysis outcome creates listing of prioritized risks updated in risk register.

Option Analysis

- **A - Incorrect:** Responses from Plan Risk Response
- **B - Incorrect:** Matrix from qualitative
- **C - Correct:** Prioritized risks from quantitative
- **D - Incorrect:** Qualitative outcomes separate

CRISC Key Takeaways

Essential Concepts

- Risk identification is iterative
- Controls must be assessed for objective achievement
- KRIs provide early warning signals
- Risk responses: Avoid, Transfer, Mitigate, Accept (negative); Exploit, Enhance, Share (positive)
- Quantitative: $\text{SLE} = \text{AV} \times \text{EF}$, $\text{ALE} = \text{SLE} \times \text{ARO}$

Final Advice

Exam Preparation

Remember:

- Understand the *why* behind each concept
- Know CIA triad (Confidentiality, Integrity, Availability)
- Understand maturity levels 0-5
- Know roles (data owner vs custodian)
- Focus on ISACA's framework approach

Good Luck on Your CRISC Exam!